

SEQUOIA CAPITAL · SEPTEMBER 2023

Generative AI's **Act Two**

From Technology Hammer to Real Value — Sequoia's analysis of how generative AI transitions from novelty demos to end-to-end solutions that solve real human problems.

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VC & FOUNDER BRIEFING

8 SLIDES

Six Decades of Technological Progress Converged to Enable Generative AI

6

Decades of Moore's Law — Compute

Six decades of exponential chip scaling delivered the exaflop-scale processing power required to train and run foundation models at unprecedented speed and scale.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did



AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

YouTube Leads Incumbents at 85% Monthly Active Usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back



Market Map Reorganized by Use Case, Not Model Modality

ACT 1 LENS

Text Models / Image Models / Code Models



ACT 2 LENS

Use Cases & End-to-End Workflows



What Separates Winners in Act Two

01 Retention is the critical challenge. AI-first apps show 14% median retention vs. 51% for incumbents — a 3.6× gap that signals insufficient durable value delivery, not just novelty fatigue.

